

Ethical investments: Woo-woo or cha-ching?

Ethical investing is a way to create change in the world and hopefully make money doing so. You don't necessarily have to sacrifice good returns for ethical investments.

Back in the day, ethical investing was seen as a bit 'woo-woo'. No-one really saw how you could care about the world's issues and try to make money at the same time.

However, times have changed. You no longer need to invest in tobacco, coal or casinos to make good returns. Morningstar, a well-respected global research agency, found that sustainable funds matched or beat returns across shares and bonds, both in the UK and overseas, over a 10-year period. The average annual return for a sustainable fund invested in large global companies has been 6.9 per cent a year, while traditional funds only brought in 6.3 per cent. (If you're thinking 'Hey! That's below the 7 per cent average return Sim has been mentioning', remember the average return of 7 to 10 per cent we've been working with is calculated over the past 40-plus years ... it's always important to take into account what period of time you're dealing with.)

This better performance makes sense, though, doesn't it? Companies with better ESG practices will treat their customers and staff well. They'll have a better working environment. They'll have more loyal clients and care about the issues of today. They'll also have more diversity and, therefore, a greater breadth of decision-makers and change makers.

These are all characteristics of a company that is going to have greater productivity and greater financial success.

Of course *ethical investing is good for business.*

So how do you do it?

Wanting to invest in ethical companies and funds is one thing, but how do you actually go about doing this? There are a few strategies investors in training have under their belt. (The term 'strategy' may make it sound complex and maybe even a bit overwhelming, but don't worry — if this